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Paper 2 Writing Guide (2026) for Cambridge IGCSE Economics (0455)

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1st edition, for examination until 2026

Econ Simplified by Ms. Soon

Mastering IGCSE Paper 2 Essays for 2026 – One Step at a Time

Welcome to the IGCSE Economics Paper 2 Instructional Guide

Hi there!

This resource is designed to support students in preparing for IGCSE Economics Paper 2 by focusing on essay structure, command word strategies, and evaluation techniques.

Inside this guide, you will find:

- ✓ Clear breakdown of AO1, AO2, AO3
- ✓ Command word reference sheet with answering strategies
- ✓ Time management tips for each section of Paper 2
- ✓ Answering tips for Define, Identify, and Explain questions
- ✓ Writing structure templates for Analyse and Discuss questions
- ✓ Common mistakes in Paper 2 and how to avoid them

 Use this guide to practise effectively, write with structure, and develop the skills needed to produce strong, well-supported answers.

1.0 Mastering IGCSE Economics Paper 2: What You Need to Know

1.1 What Is the Question Really Asking?

To score well in IGCSE Economics Paper 2, you must understand what the questions is asking. Each question tests different skills, which fall under three Assessment Objectives (AOs):

Assessment Objective	What It Means	How to Score Well
AO1 (Knowledge & Understanding)	Define terms, show factual knowledge	Use correct definitions, economic terms, and accurate facts
AO2 (Application & Analysis)	Explain how things work and link ideas	Apply economic concepts to the question context; explain cause-and-effect clearly
AO3 (Evaluation)	Make judgments and consider both sides; recognise uncertainty in outcomes	Give balanced views, state assumptions, explain "depends on" factors, and end with a reasoned evaluation (especially for Discuss/Analyse questions)

1.2 Command Words Reference Sheet

Each command word indicates the type of skill you need to demonstrate. Here's a quick guide:

Command Word	AO Level	What You Should Do
Identify	AO1	State a clear fact or example
Define	AO1	Give the precise meaning of a term
Explain	AO2	Describe and give reasons using context
Analyse	AO2 + AO3 (bonus extension)	Break down causes and effects logically. Can add "depends on" for higher marks.
Discuss	AO1 + AO2 + AO3	Give both sides with evaluation and judgement

 Pro Tip:

When writing, ask yourself:

1. Am I explaining the economic terms clearly? (AO1)
2. Am I using clear, logical reasoning to show how one point leads to another? → AO2
3. Am I making a judgement or weighing pros and cons? (AO3)

 1.3 Paper 2 Time Management Guide

Paper 2 is 2 hour 15 minutes long.

There are two sections:

Section	Questions	Marks	Suggested Time
A	One data response question (including Define, Identify, Explain, Analyse)	30 marks	~40-45 minutes
B	Choose 3 out of 4 questions (Identify or Define, Explain, Analyse & Discuss)	60 marks (20 each)	~30 minutes per question

 Suggested Time per Question Type for Section B:

Use the guide below to pace yourself during the exam. The actual length of each answer may vary — focus on clear, complete logic, not counting sentences.

Part	Task	Suggested Time	Suggested Sentence Range (Flexible)
Identify /Define	State a clear, precise point	1–2 minutes	1 sentence
Explain	Give cause-effect + link ideas	4–5 minutes	3-4 short sentences
Analyse	Build logical reasoning and relate it back to question	8–10 minutes	5–6 sentences with development
Discuss	Show both sides argument + give judgment	10–12 minutes	8–10 sentences with evaluation

Why sentence count?

They help you manage **exam rhythm**, especially under stress. They're not fixed rules — just benchmarks to avoid over-writing early and running out of time. Don't worry too much about sentence count — focus on clarity, logic and covering all points (AO1, AO2, AO3).

💡 Top Time-Saving Tips

- **Start with Section A** — it's usually more straightforward and builds confidence.
- **Don't write too much for 2–4 mark questions** — save your energy for the 6–8 markers.
- **Keep an eye on the clock** — aim to move on once the suggested time is up, even if you're not 100% done.
- **Structure = speed.** Having a set structure in mind helps you think faster and write more efficiently.

⚠️ 1.4 Common Mistakes in Paper 2 (and How to Avoid Them!)

Even strong students lose marks by making small mistakes. Here's how to avoid them:

❌ Mistake	✅ What To Do Instead
Using everyday words like “people have less money”	Use economic terms: e.g., “lower purchasing power”
Writing full sentences in Identify questions	Just write: two key terms, not full explanations
Only giving one side in Discuss questions	Always explain both sides and add a final judgment
Listing points in Analyse questions	Show cause-effect chains step by step
Forgetting diagrams	If asked, draw a labelled diagram with explanation
Confusing command words	Learn the difference: Define ≠ Explain ≠ Discuss
Writing too much for low-mark questions	Keep it short — focus your time on 6–8 mark questions
Writing one big chunk	Use clear paragraphs — one idea per paragraph
Ignoring the case study context	Always refer to the country or product in Section A
Section B questions are chosen based only on the 2- and 4-mark parts, without checking the understanding of 6- and 8-mark questions.	Section B questions should be selected after reviewing the 6- and 8-mark questions first, as more marks can be lost if those are not well understood. The 8-mark question that feels most manageable or familiar should be prioritised during selection.

2.0 Answering Skills

2.1 How to Answer “Identify” Questions (2 marks)

“Identify” questions require you to state two correct terms or examples related to the question. You do not need to write full sentences or explanations. Just use clear, accurate economic vocabulary.

 What It Tests:

- AO1: Your ability to recall key terms or concepts.

 Common Mistakes:

Student Answer	Is it Correct?	Why?
Subsidy, taxation	✓ Yes	Two correct terms
Government gives subsidy and collects tax	✓ Yes & ✗ No	Accepted but don't suggest student to write this long. It's too wordy; explanation not needed.
Price control, profit	✗ No	One or both terms may be irrelevant

 Quick Strategy:

1. Understand what the question is asking for.
2. Think of two clear, relevant terms.
3. Write just the terms. No extra info.

 Sample Question:

Q: Identify two types of taxes a government may impose. (2 marks)

A: Income tax, sales tax ✓

✗ Don't write: “The government may use income tax to increase its revenue.”

2.2 How to Answer “Define Questions” (2 marks)

“Define” questions require you to clearly state the meaning of an economic term. A full definition is usually worth 2 marks.

✅ Tip: Use precise economic language. Definitions must include essential characteristics.

🎯 Purpose of the Question:

Define questions test AO1: your ability to recall definitions and show understanding of economic concepts.

💡 What the Examiner Wants

They want a short, accurate definition. In some cases, adding a brief, relevant example may help secure marks — but it’s not required and should not become a full explanation.

✅ Marking Tips:

✓ 2 marks = Accurate, full definition including all key elements

✓ 1 mark = Partial definition, missing one key element

✗ 0 mark = Inaccurate or vague definition

✂ Answering Strategy

1. Identify the economic term clearly.
2. Write a full sentence giving its meaning.
3. Avoid using the word itself in the definition.

📄 Model Example

Question: Define 'inflation'. (2 marks)

✅ Answer:

A sustained increase in the general price level of goods and services in an economy over a period of time.

✗ Don't write: 'Inflation is when prices increase.' ← Too vague.

2.3 How to Answer “Explain” Questions (2–4 marks)

“Explain” questions require you to describe a reason, concept, or cause-effect relationship. Each valid point with a clear explanation gets 1–2 marks.

Tip:

Use connectives like ‘because’, ‘this means that’, or ‘as a result’. One mark is for stating, another for explaining.

Purpose of the Question

Explain questions test AO2: your ability to explain and apply economic reasoning.

What the Examiner Wants

They want to see a relevant economic point and a clear explanation of how or why it happens.

Marking Tips

- ‘Subsidies reduce cost’ = 1 mark (basic point)
- ‘Subsidies reduce cost, so firms can lower prices’ = 2 marks (explained point)

Avoid vague or overly general statements.

Answering Strategy

1. Make a clear point (What happens?)
2. Explain why or how it happens (What’s the link?)
3. Use connectives to build clear logic

Model Example

Question: Explain one reason why firms may choose to remain small. (4 marks)

Answer:

Firms may choose to remain small if they operate in a **niche market** that targets a **specific group of consumers**. (AO1) This means **demand** for the product is **limited**, and producing on a **large scale** may lead to **overproduction** and **higher costs**. (AO2)

Small firms can stay **flexible** and **adjust quickly** to **customer needs**, which gives them a **competitive advantage**. (AO2) Also, staying small helps them avoid **unnecessary investment in machinery** or **hiring extra workers**, keeping their operations **lean and efficient**. (AO2)

2.4 How to Answer “Analyse” Questions (6 marks)

“Analyse” questions require you to explain economic cause-and-effect with linked reasoning. Each paragraph should show how one point leads to another, and show clear cause–effect logic.

✓ Tip:

Use linking phrases like 'this leads to', 'as a result', or 'therefore'.

🎯 Purpose of the Question

Analyse questions test AO2 and AO3 (bonus extension): application and analysis. You need to go beyond definitions and show logical chains of reasoning. *AO3 (evaluation) is not required for 6-mark analyse questions, but a tiny “depends on” note can lift quality if space allows.

💡 What the Examiner Wants

Analyse questions test AO2 (application) and AO3 (analysis) (bonus extension). You must:

1. Apply economics to the specific question context
2. Show cause–effect logic
3. Avoid giving isolated facts or definitions
4. Use multiple well-developed points instead of over-explaining just one

✓ Recommended Structures for Analyse Questions

Structure Type	What It Is	When to Use	Writing Tips
3 Short Points	Three separate cause–effect explanations.	When you're unsure about topic or short on time.	Keep each point 3–4 sentences. Use clear terms and simple cause-effect links.
2 Strong Points	Two well-developed points with clear cause + consequence	When you understand the topic well.	Expand each point with a clear link (e.g., “This causes...”, “As a result...”)

📌 Notes:

- All structures are valid in the exam.
- Cambridge does not require a fixed paragraph count — clarity and development are key.
- Always adapt based on the question context, time available, and your confidence level.

Model Example

The following sample answer demonstrates how each sentence links to a specific Assessment Objective (AO).

Question: Analyse how a subsidy to farmers could affect food prices. (6 marks)

 Answer:

Subsidies reduce the cost of production for farmers, increasing their willingness and ability to produce more at each price level. (A01) **This shifts the supply curve to the right.** (A01) **Assuming demand remains constant**, the equilibrium price will fall and equilibrium quantity will rise. (A02)

Lower prices make food more affordable, increasing consumer surplus. (A03) Farmers may also **experience higher revenues** if the **increase in quantity sold outweighs the fall in price**, depending on the **price elasticity of demand for food.** (A03)

2.5 How to Answer “Discuss” Questions (8 marks)

“Discuss” questions are the highest-level Paper 2 essays. They require you to present both sides of an argument, show clear reasoning, and end with a balanced judgment. This is where AO1 (knowledge), AO2 (application/analysis), and AO3 (evaluation) all come together.

 Tip:

Discuss questions always require evaluation (AO3). Don't just list points — explain them clearly and end with a judgment.

Purpose of the Question

These questions test AO1 (knowledge), AO2 (application), and AO3 (evaluation). You must demonstrate critical thinking.

What the Examiner Wants

They expect a two-sided answer with well-developed explanations, both sides clearly using economic concepts, and a clear structure. A strong evaluative conclusion (e.g., "It depends on...") is essential for top marks.

Marking Tips

- 6–7 marks: Good knowledge and application, but weak or brief evaluation.
- 8 marks: Balanced, well-explained, with strong evaluation in the final paragraph.

Answering Strategy

1. Identify at least one strong point for each side of the argument.
2. Explain each point with a clear reason and well-developed explanations.
3. End with a balanced conclusion that shows evaluation — e.g., "it depends on..."

Recommended Structure

Structure Type	What It Is	Tips
2 Yes + 2 No + Evaluation	Two arguments supporting, two against, then a strong evaluation on uncertainty of outcomes.	Each point must include clear explanation (AO2). Evaluation can be shorter, as long as it includes a clear "It depends..." and context (AO3).

Model Example

Question: Discuss whether fiscal policy is effective in reducing income inequality. (8 marks)

Answer:

Fiscal policy can be effective in reducing **income inequality**. A **progressive tax system** means that higher earners pay a larger share of their income, allowing the government to **redistribute**

wealth. (1 – **AO1**) Public spending on **education, healthcare, and welfare benefits** can improve opportunities for low-income groups and **reduce poverty.** (1 – **AO2**)

However, fiscal policy has limitations. High-income individuals may engage in **tax avoidance**, reducing the effectiveness of progressive taxation. (1 – **AO2**) Government transfers may also be **poorly targeted**, or suffer from **administrative inefficiencies**. Moreover, **high tax rates** could **discourage work, saving, or investment**, especially among the wealthy. (1 – **AO2**)

Whether fiscal policy is effective **depends on how well it is designed and implemented.** (1 – **AO3**) If taxes are **progressive but fair**, and spending is **well-targeted**, it can significantly reduce inequality. But if the system is poorly enforced or overly burdensome, it may **create inefficiencies without achieving equity goals.** (2 – **AO3**)



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